

Chapter Five

5. Growing the Enterprise

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Chapter outlines

- Factors influencing success
- Types of new venture
- Process and Stages for Creating a New Venture

Introduction

- ✓ Estimates vary, but most studies confirm that around half of start-ups survive no more than four years, and less than 4% of the remaining new ventures grow.
- In this chapter we identify the factors which contribute to the success and growth of new ventures, and we try to differentiate the factors which entrepreneurs can influence from those which are more contextual.

5.1 Factors Influencing Success

- Firm age: Number of years in existence.
- Size of founding team: Likely to bring additional and more diverse expertise to the ventures and better decision making.
- Financial resources: Venture assets and access to funding.

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- Founders' marketing experience: But not technical experience, or prior experience of startups
 - Founders' industry experience: In related markets or sectors.
 - Existence of patent rights: In product or process technology, but R&D investment was not found to be significant.

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- ❑ The first three factors were by far the most significant predictors of success.
 - ❑ However, clearly there is also some interaction between these effects, for example the founders' marketing and industry experience is likely to influence the attention to market scope and the value chain, and patent rights make raising finance easier, and vice versa.

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- ❑ In addition, they found that some commonly cited factors had no effect, including founders' experience of R&D or prior start-ups.
 - ❑ The importance of other factors depended on the precise context of the venture, for example for independent start-ups R&D alliances and product innovation both had a negative effect on performance, but for ventures of mixed origins R&D alliances and product innovation both had a positive effect on performance

❑ Internal and external factors contribute to the success and growth of a new venture.

- Internal factors include the most significant controllable factors such as size of target market, industrial experience of founders, strength of social networks, business management skills, product attractiveness to target market, ownership structure and governance, profit potential, entrepreneurial attitude, leadership skills, R&D and production planning, market development and financial forecast all help to build credibility for a new venture.

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- External factors include access to complementary resources, social and business networks, and the regional and national context.

□ However, innovation promotes the development and growth of a new venture, and this demands access to complementary resources and capabilities within the new venture and throughout its external networks.

- Complementary capabilities:- the mixture of diverse experience, expertise and resources that ventures need to grow, partly achieved through multiple founders and partly through external networks.

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- This is one reason why firms created by pairs or small groups of founders are significantly more likely to be successful than those formed by individual entrepreneurs.
 - The contrasting capabilities and perspectives of multiple founders provide a stronger basis to identify, develop and deliver innovative offerings.

Table- Complementary capabilities of new ventures created by multiple founders

Case company	Multiple founders	Complementary capabilities
Apple	Jobs, Wozniak and Ive	Graphic design and showmanship Computer science, Industrial design
Facebook	Zuckerberg and Saverin	Computer science and psychology
Microsoft	Gates and Allen	Computer science, and intellectual property, Computer science
Intel	Noyce, Moore and Grove	Physics, maths and organization, Electrical engineering, Process engineering and strategy
Google	Page and Brin	Computer Science (PhD), Mathematics and Computer Science (PhD)

5.2 Types of New Venture

- ❑ *Entrepreneurs create new business for various reasons. It's important to understand different entrepreneurial motives and mechanisms.*

A. Lifestyle entrepreneurs:

- ❑ *Those who seek independence, and wish to earn a living based around their personal circumstances and values.*

e.g. individual professional consulting practices or home-based craft businesses.

B. Growth entrepreneurs:

- ✓ Those who aim to become wealthy and powerful through the creation and aggressive growth of new businesses.
- ✓ Successful growth entrepreneurs tend to create very large corporations through acquisitions, which may dominate national markets, and the founders may become very wealthy and influential.

C. Innovative entrepreneurs:

- *Individuals who are driven by the desire to create or change something, whether in the private, public or third sectors.*

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- ✓ Independence, reputation and wealth are not the primary goals in such cases. Rather, the main motivation is to actually change or create something new.
 - ✓ Innovative entrepreneurs include technological entrepreneurs and social entrepreneurs.

5.3 Process and Stages for Creating a New Venture

Typical stages of creating a new venture include:

Assessing the opportunity for a new venture – generating, evaluating and refining the business concept

Developing the business plan and deciding the structure of the venture

Acquiring the resources and funding necessary for implementation – including expert support and potential partnership

Growing and harvesting the venture – how to create and extract value from the business

1. Assessing the opportunity for a new venture

- ❑ A new venture will face different challenges at different stages in order to make a successful transition to the next stage, what the researchers call 'critical junctures'.

A. Opportunity recognition:

- How entrepreneurs identify potential opportunities to support new business.

B. Entrepreneurial commitment:

- *Acts and sustained persistence that bind the venture champion to the emerging business venture.*

C. Venture credibility:

- This is critical for the entrepreneurs to gain the resources necessary to acquire the finance and other resources for the business to function.
- Credibility is a function of the venture team, key customers and other social capital and relationships.

❑ Research confirms that the ability to recognize and assess opportunities is a critical determinant of new venture success. Common sources of ideas for new ventures include:

- Extensions or adaptations of existing product or service.
- Application of existing products or service in different or newly created market segments, or at different price point.
- Adding value to an existing product or service.
- Developing a completely new product or service

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- The more fundamental drivers of opportunities for new ventures are:

Economic factors, e.g. changes in disposable income.

Technological developments – which may reduce (or increase) barriers to entry.

Demographic trends, e.g. the ageing population, more leisure time.

Regulatory changes, e.g. environmental requirements, health and safety.

2. Developing the business plan

☐ Developing the Business Plan

- The primary reason for developing a formal business plan for a new venture is to attract external funding.
- No standard business plan exists, but in many case venture capitalists will provide a pro forma for the business plan.

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- ❑ Typically, a business plan should be relatively concise, say no more 10 to 20 pages, begins with an executive summary and include:
 - details of the product or service, assessment of the market opportunity, identification of target customers, barriers to entry and competitor analysis, experience, expertise and commitment of the management team, strategy for pricing, distribution and sales, identification and planning for key risks, cash-flow calculation, including break-even points and sensitivity and financial and other resource requirements of the business.

New Venture Structure

- The basic options are:

A. Sole proprietorship:

- The advantages are relatively light regulation and reporting, autonomy of decision-making and total control, direct personal incentive to succeed and ease of exit.
- However, this exposes the owner to unlimited personal liability, provides only limited access to external capital and development and relies on the skills and talent of only one person.

B. Partnership:

- The advantages are easy to establish, larger pool of expertise and capital, partners share all profits and having flexibility to extend partnerships as the business develops.
- However, potential for personality and decision-making conflicts, buying out partners who wish to leave and joint unlimited liability of partners are some of the downsides.

C. Company:

- ❑ Easy and cheap to establish, better access to capital for growth, and exposes owners to only a limited liability.
- ❑ The disadvantages are the reporting requirements, rules of operations, different shareholder interests and restrictions on the sale and transfer of assets.

3. *Acquiring the Resources and Funding*

- The potential sources of initial funding for creating a new venture:

- ☒ Self-funding

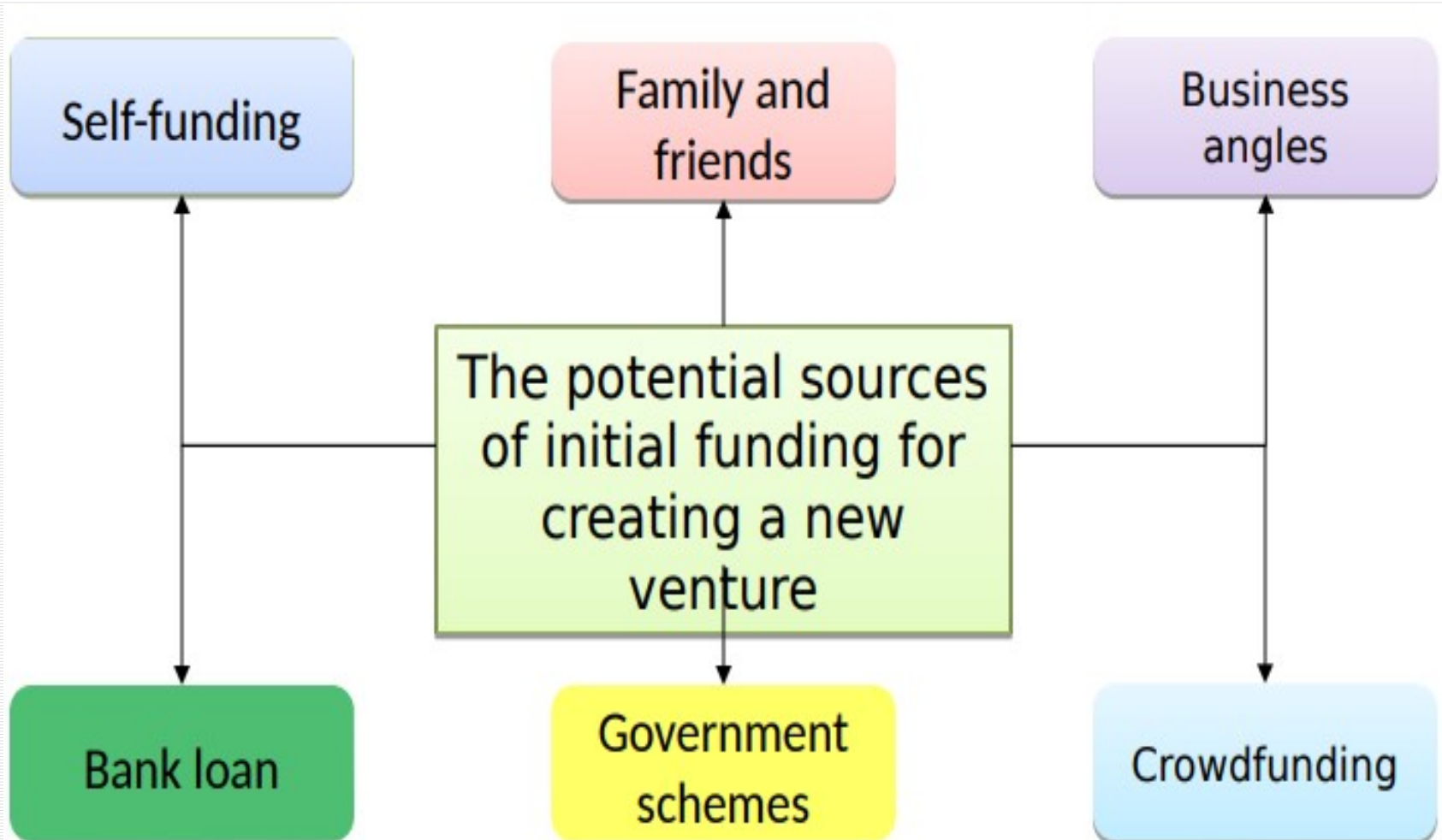
- ☐ Family and friends

- ☐ Business angels

- ☐ Bank loans

- ☐ Government schemes

- ☐ Crowd funding



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- The initial funding to establish a new venture is rarely a major problem. Almost all are funded from personal savings or loans from family or friends.
 - At this stage few professional sources of capital will be interested, with the possible exception of government support schemes.

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- However, a new venture is likely to require financial restructuring every three years, if it is to develop and grow.
 - Studies identify stages of development, each having different financial requirements:
 - ✓ Initial financing for launch
 - ✓ Second-round financing for initial development and growth
 - ✓ Third-round financing for consolidation and growth
 - ✓ Maturity or exit.

■ Business angels:

- Are successful entrepreneurs who wish to re-invest in new ventures, usually in return for some management role.
- They are usually able to introduce a venture to an established network of professional advisers and business contacts.

■ Crowd funding :

- is the practice of funding a project or venture by raising money from a large number of people or people, typically via the internet.

4. Growing and harvesting the venture



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Thank

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